Powell Puts Cuts on Ice

S&P 500 −1.37% as Fed holds, flags inflation risk from Iran war. PPI surges 0.7%. Brent tops $104. Gold −3.6%.

THE SESSION

Stocks sold off sharply Wednesday after the Federal Reserve held rates steady and Chair Jerome Powell underscored that higher energy prices will push inflation above the committee's target for longer than expected. The S&P 500 fell 1.37% to 5,624.38, the Dow dropped 1.63%, the Nasdaq declined 1.46%, and the Russell 2000 lost 1.64%. Markets had been under pressure all morning after the February Producer Price Index came in at +0.7% month-over-month, more than double the 0.3% consensus. The hot wholesale inflation print arrived ahead of what was always going to be a consequential Fed day, and the combination proved corrosive to risk appetite.

The FOMC voted 10–2 to keep the federal funds rate at 3.50–3.75%. Governors Miran and Waller dissented in favor of a quarter-point cut. The updated dot plot still projects one reduction this year and another in 2027, but seven of nineteen participants now see no cuts at all in 2026—one more than December. Core PCE forecasts were revised up to 2.7% from 2.5%. Powell acknowledged the Fed has not made as much progress on inflation as hoped and said the central bank needs to see goods inflation, boosted by tariffs and now energy costs, ease before resuming cuts. He noted that near-term inflation expectations have risen, likely reflecting the oil price surge from Middle East supply disruptions.

Brent crude settled above $104, extending its war-driven rally as Iran warned Gulf energy sites to evacuate after its own gas facilities were struck. The 10-year Treasury yield rose to 4.26%. Gold fell 3.6% to $4,826 as a stronger dollar and margin liquidation overwhelmed safe-haven demand. Bitcoin dropped 4.0% to $70,956, pressured by the same risk-off rotation. The VIX climbed 12% to 25.09.

IOWN Tactical: The S&P 500 remains well above our first deployment threshold at −20% from the all-time high. With inflation reaccelerating and the Fed signaling patience, the current posture is to hold positions and let compounding do its work. Days like today are the cost of admission for long-term ownership.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

AMD +1.60% — GROWTH PORTFOLIO

Samsung and AMD signed an MOU expanding their AI partnership. Samsung will supply HBM4 memory for AMD's next-gen Instinct MI455X accelerators and co-develop DDR5 for 6th-gen EPYC processors. Foundry discussions were also disclosed.

VLO +1.06% — DIVIDEND STRATEGY

Refining margins benefit from the oil supply disruption. Brent above $104 and crack spreads widening as Middle East tensions persist.

LMT +0.94% — DIVIDEND STRATEGY

Defense names continue to attract flows amid the Iran conflict. LMT was one of only two Dividend Strategy holdings to close green.

SUPV +0.75% — GROWTH PORTFOLIO

Argentine financials held up on continued optimism around Milei's economic reforms and peso stability.

MATX +0.60% — DIVIDEND STRATEGY

Shipping and logistics names resilient as Strait of Hormuz disruption boosts freight rate expectations.

DECLINERS

GFI –7.84% — GROWTH PORTFOLIO

Gold miners sold off hard as the metal fell 3.6%. Dollar strength and margin liquidation overwhelmed safe-haven positioning.

AEM –6.38% — GROWTH PORTFOLIO

Same gold-driven selling. Agnico Eagle gave back most of its recent gains as futures slid below $4,850.

ETHA –5.93% — DIGITAL ASSET ETF

Ethereum ETF under pressure as crypto sold off broadly on risk-off sentiment and hawkish Fed tone.

FINV –4.85% — GROWTH PORTFOLIO

Chinese fintech names pressured as PDD also declined 3.5%. Broader EM risk-off amid dollar strength.

IBIT –4.76% — DIGITAL ASSET ETF

Bitcoin ETF tracked the underlying's 4% decline. Crypto assets sensitive to liquidity expectations, which tightened post-Fed.

HUT –4.69% GROWTH PORTFOLIO

Bitcoin mining proxy sold off in sympathy with BTC. HUT remains highly correlated with crypto spot prices.

TEL –3.96% DIVIDEND STRATEGY

TE Connectivity was the worst performer in the Dividend Strategy. Industrials broadly weak on growth concerns.

HOLDINGS NEWS

QCOM — $20 billion buyback and dividend hike. Qualcomm's board authorized a new $20 billion share repurchase program and raised the quarterly dividend 3.4% to $0.92 per share (annualized $3.68). The open-ended buyback supplements $2.1 billion remaining from a 2024 authorization. Shares had been down 22% year-to-date before the announcement. QCOM closed at $130.47, down 0.85% on the day as the broader selloff overwhelmed the capital return news.

AMD — Samsung AI memory partnership. AMD and Samsung signed a memorandum of understanding at Samsung's Pyeongtaek campus to expand collaboration on AI infrastructure. Samsung will supply HBM4 for AMD's Instinct MI455X accelerators and optimized DDR5 for 6th-generation EPYC processors. The companies are also discussing a foundry partnership. AMD closed at $199.46, up 1.60%.

COIN — AI agent payments infrastructure. Coinbase is reportedly building payments infrastructure for AI agents, with a potential Cloudflare partnership in the works. The stock fell 3.78% to $202.29 as the broader crypto selloff overwhelmed the development news.

HOOD — 24/7 trading and venture fund. Robinhood announced its Ventures Fund I, linking the platform to venture and public fund strategies. Separately, reports indicate HOOD is part of an initiative to enable round-the-clock S&P 500 trading. Shares fell 3.17% to $74.90.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

–1.19%

vs. DVY –1.36% | IWS –1.08%

GROWTH PORTFOLIO ✗ TRAIL

–1.93%

vs. IUSG –1.20%

YEAR-TO-DATE

Dividend +5.09% vs DVY +5.43% / IWS +2.94%
Growth –1.52% vs IUSG –4.70%